

February Labour Force challenges recent 're-tightening'

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Employment: +48.9k (from +26.1k). Unemployment Rate: 4.3% (from 4.1%). Participation Rate: 66.9% (from 66.7%).



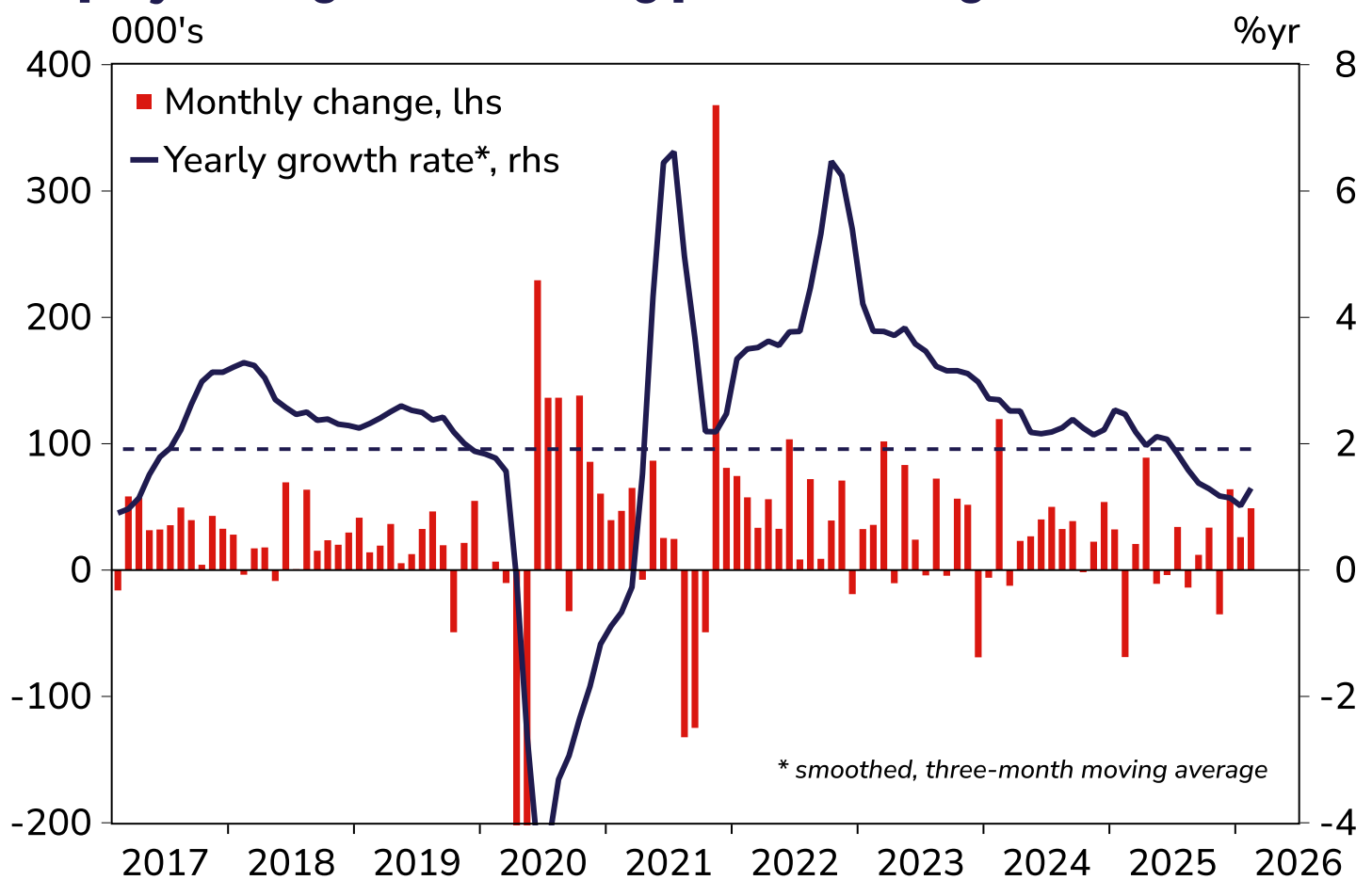
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Employment surprised to the upside in February, rising +48.9k, above Westpac's and the market

median forecast for a +20k lift. Interestingly, the gain was entirely centred on part-time employment (i.e. those working less than 35 hours per week), which rose +79.4k, while full-time employment fell –30.5k. As a result, the total number of hours worked during the month fell –0.2%.

The ABS noted in its media release that February “saw fewer people who were unemployed and waiting to start a job in January move into employment in February”. This has been an important dynamic since the pandemic. January months have recently seen more people than usual saying they have a job lined up for after the holidays but are not yet working – with many in this group labelled as currently ‘unemployed’. Come February, they move into the job and are now classified as ‘employed’. Given this dynamic has persisted for a few years, it could (and perhaps should) be seen as a shift in seasonal behaviours; but for now, seasonal factors are not yet fully adjusting for this, resulting in softer January reads and stronger February reads for employment growth.

Employment growth moving past its trough



Source: ABS, Macrobond, Westpac Economics

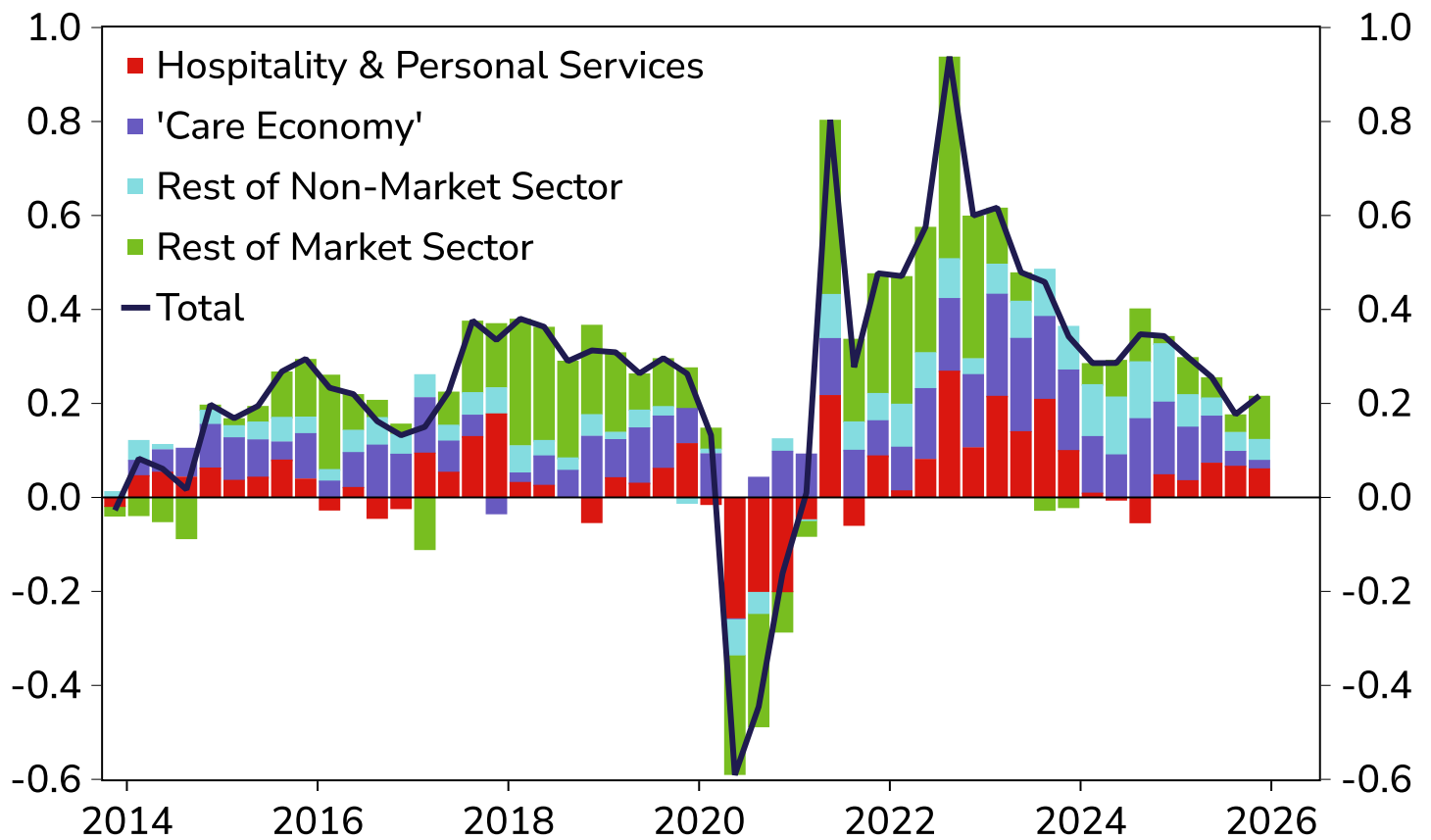
Taking a step back from these month-to-month nuances, the trend for employment growth is turning more positive. On a three-month average basis, employment growth has now lifted to an annual pace of 1.3%/yr after dipping down to a low of 1.0%/yr. As we predicted, it is now becoming clearer that employment growth is moving past its trough.

This is a result of the trends we have been watching closely in industry data. Jobs growth in the ‘care economy’ pulled back significantly after a monumental hiring effort over recent years. As consumer

spending started to lift over 2025, consumer-facing services industries started to expand headcount. More recently, with signs of the economic recovery broadening, we are beginning to see jobs growth lift across other market sector segments, like construction and business services.

Care economy contribution is easing

Contributions to year-ended employment growth (000s)



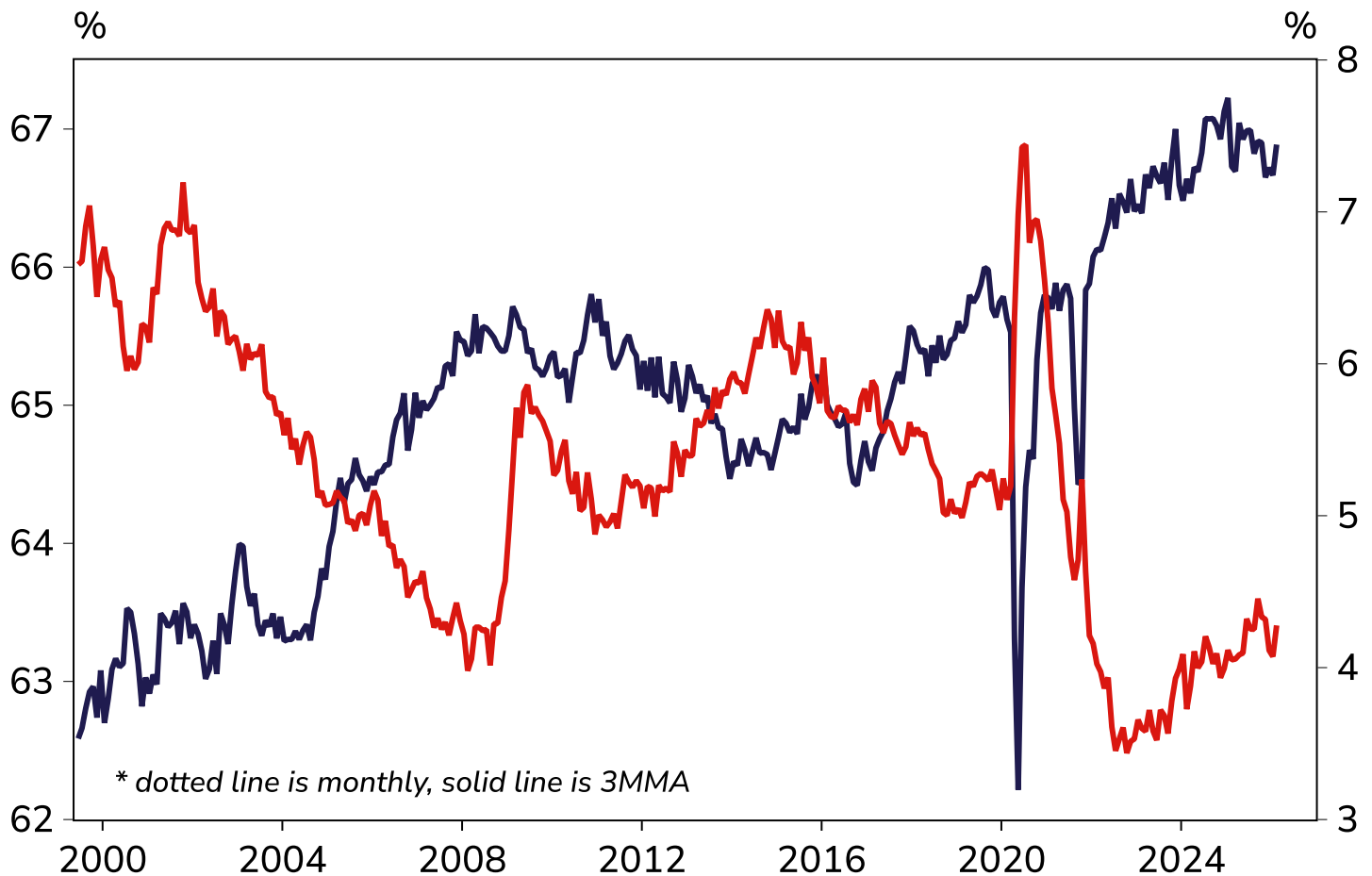
Source: ABS, Macrobond, Westpac Economics

Importantly, the unemployment rate lifted from 4.1% over December and January to 4.3% in February, taking it back to the levels seen through most of the second half of last year. The increase was mainly due to a lift in the participation rate, from 66.7% to 66.9%.

The lower prints for the unemployment rate around the turn of the year stemmed from lower labour force participation – although employment growth was weak, growth in the size of the labour force was even weaker, resulting in apparent ‘re-tightening’. As we flagged in last month’s bulletin, there was a clear risk that we could see a turnaround in labour force participation start to lift the unemployment rate again in the months ahead.

That is because there are two main forces behind labour force participation: a structural component supporting a stable uptrend, and a cyclical component that is producing downward pressure. The latter is what dominated in recent months, usually tied to an easing in the cost-of-living pressures that had been drawing more people into the labour market. We noted that this cyclical downswing could easily pause, or even reverse, as inflation and an associated rise in interest rates impact this year. Labour force participation is also cyclically responsive to changes in labour demand, and as noted above, employment growth has been starting to pick up again.

Participation and unemployment rates lift



Source: ABS, Macrobond, Westpac Economics

How the unemployment rate evolves over the rest of 2026 depends on how these forces behind labour demand and participation evolve.

The recent lift in employment growth follows on from a genuine upswing in consumer spending and a normalisation of industry employment dynamics last year. But with re-emerging inflation pressures and a 'higher for longer' interest rate outlook, the jobs growth recovery is likely to be a bit flatter than previously expected, corroborated by evidence from business surveys which suggest that firms are still somewhat cautious around hiring decisions.

To our mind, the case for a further rise in participation is solid given positive structural forces and fading cyclical drags. Therefore, we still think it is likely that the unemployment rate drifts slightly higher over the remainder of this year.

If this proves to be the case, then it looks like the December/January period is better seen as a display of weaker labour force participation temporarily compressing the unemployment rate. One month's data certainly does not mark a trend, so it is too early to definitively say whether this is the case. Monthly labour market data is inherently volatile, and these broader trends we discuss tend to appear in fits and starts as each month of data is published.

Today's labour market data will challenge the RBA Monetary Policy Board's assessment earlier this week that "the labour market has tightened a little recently", an important part of their wider view that

capacity pressures are a key driver of the recent kick-up in inflation. That said, the current focus and concern for the RBA will now be on risks emanating from the Middle East conflict. Hence, today's data is unlikely to materially alter policy considerations (noting also that there will be one more labour force reading before the Board's May meeting).

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